

**DEPARTMENT OF THE TREASURY
LIMITED-SOURCES JUSTIFICATION**

Acquisition Title: *Information Technology Security Implementation (ITSI)*

This acquisition is conducted under the authority of the Multiple Award Schedule Program (see FAR 8.401)

1. Identification of the agency and the contracting activity:

The requiring activity is the Internal Revenue Service, Information Technology (IT) Cybersecurity, Architecture & Implementation, Cyber Solution Development (CSD)

2.a Nature and/or description of the action being approved:

The purpose of this limited-source justification is to obtain approval to award a hybrid (Firm-Fixed Price/Labor Hour) bridge order to Maximus Federal Services, Inc. utilizing the General Services Administration (GSA) Multiple Award Schedule (MAS) 54151S to provide continuation of contractor support of Cybersecurity CSD projects and initiatives needed to operate and maintain security tools and business processes that are essential to protecting the IRS network and critical tax processing systems. The period of performance (POP) for this bridge is one year; from March 27, 2025-March 26, 2026. This order will not exceed one year. This bridge is an extension of a task order against an IDIQ Advisory & Assistance Services (A&AS) contract, not an extension of the period of ordering under the IDIQ contract; as a result, this bridge is not subject to the restriction on extending A&AS IDIQ contracts.

2.b Name of the vendor: Maximus Federal Services, Inc.

2.c Requisition No.: 5000200979

2.d Bridge contract: ☒ Yes ☐ No

2.e Brand name: ☐ Yes ☒ No

3.a A description of the supplies or services required to meet the agency's needs:

This task order provides technical and subject matter experts to operate the backbone of the IRS Cybersecurity program by ensuring the collection, ingestion, aggregation, correlation and visualization of all IRS security related information. This task order integrates 300K+ data sources and roughly 200 billion security events from all IRS security tools to provide a single pane of glass for detection and remediation of security risks/threats including but not limited to the following.

- Detecting and managing all assets on the IRS network (hardware and software with vulnerability and configuration settings management).
- Overseeing all identity and access management for users/accounts on the IRS network (elevated privileges, credentials management, authentication, trust determinations, access privilege verification).
- Facilitating operational security (policy compliance, boundary protection, event management (audit trails logging), incident response).
- Monitoring the protection of sensitive data (PII/FTI/HVA monitoring).

These services are critical to IRS' ability to protect critical tax processing systems; monitor and prevent unauthorized access of data; protect data, assets, and people; and protect network and devices from emerging threats.

3.b Includes IT: ☒ Yes ☐ No

NAICS: 541519, PSC: DJ01

3.c IGCE/Estimated dollar value:

The IGCE is \$39,465,192.98 for a one year POP. (3-month base period plus 3, 3-month option periods.)

4.a Identification of the authority being used (Check the appropriate box that applies).

☒ FAR 8.405-6(a)(1)(i)(A) – An urgent and compelling need exists, and following the procedures would result in unacceptable delays.

☐ FAR 8.405-6(a)(1)(i)(B) – Only one source is capable of providing the supplies or services required at the level of quality required because the supplies or services are unique or highly specialized.

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☐ FAR 8.405-6(a)(1)(i)(C) – In the interest of economy and efficiency, the new work is a logical follow-on to an original Federal Supply Schedule order or BPA provided that the original order or BPA was placed in accordance with FSS procedures in accordance with the applicable Federal Supply Schedule ordering procedures. The original order or BPA must not have been previously issued under sole-source or limited-sources procedures.

☐ FAR 8.405-6(b) – Items peculiar to one manufacturer. (i.e., Brand Name specifications)

4.b Supporting Rationale:

A one-year bridge (3-month base period plus 3, 3-month option periods) task order is needed to avoid a lapse in service and provide adequate time to fully prepare to re-compete this task order due to its criticality, complexity, and magnitude of the scope of services. A lapse in support will severely jeopardize the IRS security posture, including but not limited to: the IRS protection of critical tax processing systems; TIGTA investigations of insider threats, UNAX violations, and Cybercrime; operation of critical security programs required for compliance with many OMB and Treasury Directives, NIST guidelines, and related Executive Orders (EO), such as EO 14028 and OMB 22-09 Federal Zero Trust Strategy compliance.

5. A determination by the ordering activity Contracting Officer that the order or BPA represents the best value consistent with FAR 8.404(d):

The Contracting Officer has determined that the order represents the best value consistent with FAR 8.404(d) and lowest overall cost alternative (considering price, special features, administrative costs) to meet the Government's needs based on comparing prices and labor hours with prior similar task orders issued, by verifying the negotiated labor hourly rates already established in the GSA MAS and seeking price reductions in accordance with FAR 8.405-4.

6. A description of the market research conducted among schedule holders and the results or a statement why market research was not conducted:

In September 2018, the IRS awarded a one-year \$9.8M purchase order (2032H5-18-P-00401). In September 2019, the IRS awarded a five-year order (2032H5-19-F-00785) that averaged \$23.8M per year. The 2019 acquisition strategy, which approved the use of Alliant 2 BIC unrestricted contractors, was approved based on market research conducted in 2018. That market research concluded that the small businesses who submitted were not capable of delivering the \$9.8M requirement. Use of the 2018 market research was permissible by FAR 10.002 "Procedures" and was approved by the IRS Contracting Officer, Small Business Specialist, Treasury OSDDBU, and SBA. The approval to continue with the Alliant 2 BIC unrestricted task order was based on the natural conclusion that the inability to deliver the \$9.8M requirement in 2018 certainly excluded the capability to deliver the 2019 \$23.8M annual requirement, and the approval required including a Small Business Participation Plan .

While the IRS awarded this order (203H5-19-F-00785) in September 2019 with a ceiling of \$119M, the IRS modified the task order 51 times, increasing the total order value to \$163.7M, which required numerous reviews including the Contracting Officer, multiple levels of IRS Procurement leadership, and a review by IRS General Legal Services. This significantly increased order was a direct result of the increased complexity and level of effort resulting from new Executive Order 14028 Improving the Nation's Cybersecurity, published in May 2021, subsequent related OMB Directives, 3,720 DHS CISA alerts and advisories, 91 new Cybersecurity NIST requirements, and significant FISMA requirement revisions.

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To prepare for a September 2024 recompetes award, IRS Cybersecurity enlisted the support of IRS Procurement Acquisition Management Planning Division in June 2023, and the market research was approved with concurrence that no small business could deliver the follow-on requirement. In September 2023, the division confirmed this requirement was in-scope for use on the IRS \$2.6B Enterprise Development, Operations Service (EDOS) BPA, which was awarded in May 2023 to four large business concerns. The EDOS BPA far exceeds the IRS 2024 small business subcontracting goal of 15% with a 25% requirement, representing up to \$650M in small business subcontracts.

In October 2023, the IRS EDOS BPA program office concurred that this requirement was in-scope, and in November 2023 it was assigned to the new Procurement Acquisition-Program Management Office (A-PMO), which is a centralized point of contact for direct customer support during the preplanning phase of the acquisition process. The program uses an agile “tiger team” approach to support customers with requirement gathering and technical writing. From November 2023 through January 2024, the A-PMO and EDOS program office collaborated to revise all acquisition documents for this ITSI recompetes.

In January 2024, the EDOS IRS Contracting Officer was assigned to support the execution of the recompetes action utilizing the EDOS BPA. However, 5 months later, in June 2024, the Treasury SPE issued restrictive guidelines and IRS Procurement rejected the EDOS strategy, based on the request for information (RFI) and sources sought notice (SSN) responses received during market research that supported the “Rule of Two” (FAR 19.502-2). The volume of small business respondents to the SSN suggested that two or more qualified small businesses could perform the work. In September 2024, IRS issued a six-month (-8) task order extension on order 203H5-19-F-00785. IRS Cybersecurity technical experts and the Director, Cybersecurity Architecture and Implementation thoroughly evaluated the RFI and SSN responses and the respondents' past acquisition history. The IRS Cybersecurity’s conclusion after their evaluation is that it is not reasonable to expect that two or more of the small businesses that responded could deliver this complex, large-scale requirement with minimal risk to the IRS information security programs that detect and mitigate threats, cybercrimes, and unauthorized accesses to taxpayer information.

In December 2024 a new contracting officer was assigned and determined that the previous market research is more than 18 months old and is no longer applicable, and the new research and response evaluations will inform the set-aside recommendation for the recompetes.

Approval of this justification will provide the agency the time needed to properly conduct market research, issue a request for quote and award a competitive order.

7.a Any other facts supporting this justification:

The technical requirements for this task order are extremely complex and require significant lead time to execute a competitive award. IRS has zero tolerance for any degradation in contractor capability or performance because protecting the IRS network and the taxpayer data entrusted to the IRS is mission-critical. The complexity of competing and identifying qualified vendors is due to several factors.

- Scale: IRS’ CSD organization delivers and operates security solutions to ingest more than 48 terabytes of transaction and security data daily, with operational

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security stewardship over a data repository with 200 billion events, 2.4 billion application events produced monthly, and correlation of 7 years of historical systems access providing near real-time correlation, aggregation, and visualization by technical IT and security professionals.

- IRS technical environment: IRS has a unique and continuously evolving operational environment containing many custom-built solutions and proprietary tools and must maintain interoperability between legacy IT infrastructure and modern technologies and tools.

To ensure the IRS' ability to continue to protect critical tax processing systems and maintain its security posture while a re-compete is executed, a one-year (3-month base period plus 3, 3-month option periods) bridge task order to the current vendor is required.

7.b Attachments: ☒ Yes ☐ No

Acquisition Plan & PWS

8. A statement of the actions, if any, the Requiring Activity and Contracting Activity may take to remove or overcome any barriers that led to restricted consideration before any subsequent acquisition for the supplies and services is made:

Approval of this justification will provide the agency the necessary time to complete a re-compete, properly conduct market research, and analyze the market research. The re-compete package is currently in procurement and going through concurrent reviews. A December 2025 award is the current target date.

9. Certifications and Approvals:

9.a Program Office Certification (Requiring Activity). I hereby certify that any supporting information and data provided (e.g., the Government's minimum needs or requirements, or other rationale for the limited sources) and which form the basis for this justification for an exception to fair opportunity, are accurate and complete to the best of my knowledge and belief.

Name: Andrea Beachy **Date:** 2/26/2025

Signature:  Andrea L. Beachy
Digitally signed by Andrea L. Beachy
Date: 2025.02.26 09:33:27 -05'00'

9.b Contracting Officer Certification and Approval. I hereby determine the circumstances of this acquisition support the justification to acquire these supplies or services on a limited source basis. I also certify this limited-sources justification is accurate and complete to the best of my knowledge and belief. Therefore, unless additional approvals are required as prescribed below, as the authorized contracting officer for this acquisition, I hereby approve the processing of this requirement on a limited-source basis.

Name: Magdalena Bernard **Date:** 2/26/2025

Signature:  Magdalena Bernard
Digitally signed by Magdalena Bernard
Date: 2025.02.26 10:20:24 -05'00'

10. Additional Reviews and Approvals (As applicable):

10.a Bureau Chief Information Officer or Authorized Designee (for IT requirements that are over \$5 million, but not exceeding \$75 million) (Contracting Activity). I have reviewed this justification and find it to be accurate and complete to the best of my knowledge and belief, and representative of the Government's need. Therefore, I hereby consent to the

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approval of this justification. (Note: The Bureau CIO may delegate their authority for proposed contracts over \$5 million, but not exceeding \$15 million to the Associate Bureau CIO(s).)

Name: Rajiv Uppal, CIO, IRS **Date:** _____

Signature: Rajiv K. Uppal Digitally signed by Rajiv K. Uppal
Date: 2025.02.27 13:12:49 -05'00'

10.b Advocate for Competition (if over \$750,000, but not exceeding \$15 million) (Contracting Activity). I have reviewed this limited-sources justification and find it to be accurate and complete to the best of my knowledge and belief. Therefore, unless additional approvals are required as prescribed below, as the ordering activity's Advocate for competition, I hereby approve this limited-sources justification.

Name: Julius S. Bradshaw **Date:** 2/26/2025

Signature: Julius S. Bradshaw Digitally signed by Julius S. Bradshaw
Date: 2025.02.26 12:06:38 -05'00'

10.c Head of the Procuring Activity or Authorized Designee (if over \$15 million, but not exceeding \$75 million) (Contracting Activity). I have reviewed this limited-sources justification and find it to be accurate and complete to the best of my knowledge and belief. Therefore, unless additional approvals are required as prescribed below, as the head of the procuring activity or authorized designee, I hereby approve this limited-sources justification.

Name: Teresa R. Hunter **Date:** _____

Signature: Teresa R. Hunter Digitally signed by Teresa R. Hunter
Date: 2025.03.05 11:18:13 -05'00'

10.d Treasury Chief Information Officer (for IT requirements that are over \$75 million). I have reviewed this justification and find it to be accurate and complete to the best of my knowledge and belief, and representative of the Government's need. Therefore, I hereby consent to the approval of this justification.

Name: NA **Date:** _____

Signature: _____

10.e Senior Procurement Executive (if over \$75 million) (Contracting Activity). I have reviewed this limited-sources justification and find it to be accurate and complete to the best of my knowledge and belief. Therefore, I hereby approve this limited-sources justification.

Name: NA **Date:** _____

Signature: _____